GALIFORM CORPORATE SERVICES LIMITED

DIRECTORS' REPORT AND FINANCIAL STATEMENTS

FOR THE 53 WEEKS ENDED 30 DECEMBER 2006

REGISTERED NUMBER 1767386

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GALIFORM CORPORATE SERVICES LIMITED
DIRECTORS' REPORT AND BUSINESS REVIEW

The directors have pleasure in submitting their report and the audited financial statements of the Company for the 53 weeks to 30 December 2006 (2005 52 weeks to 24 December)

BUSINESS REVIEW AND PRINCIPAL ACTIVITIES

The company is a wholly owned subsidiary of Galiform Plc and operates as part of the Galiform Plc s Corporate division The company s principal activities are providing various corporate and Information Technology services to other member companies of the Galiform Plc group During the year the company has disposed of its investment in Hygena Cuisines SA to Nobia AB, and transferred its retail operation to MFI Retail Limited, which was subsequently sold to MEP Mayflower Ltd The manufacturing operation has been transferred to a group company Howden Kitchens Limited (previously known as White Space Furniture Limited) The directors are not aware, at the date of this report of any likely major changes in the Company s activities in the next year

The loss for the financial period as shown in the profit and loss account on page 5 amounted to £46,039,000 (2005 £212,635,000) after exceptional profit of £13,618,000 (2005 loss of £78,655 000) The directors recommend that no dividend be paid The directors are satisfied with the progress of the business

The balance sheet on page 6 of the financial statements shows the Company s financial position at the end of the period Details of amounts owed to the parent company are shown in note 11

The Galiform Plc group (the Group ') manages its operations on a divisional basis For this reason, the Company s directors believe that further key performance indicators specific to the Company are not necessary or appropriate for an understanding of the development performance or position of the business The performance of the corporate division of Galiform Plc, which includes the Company is discussed in the Group s Annual Report which does not form part of this report

PRINCIPAL RISKS AND UNCERTAINTIES

The Company is financed by a loan from its ultimate parent and has no third party debt The intercompany debt is repayable on demand to the ultimate company and interest free The ultimate parent company has provided a letter of support which states that this balance is not repayable in the next 12 months therefore the company has no interest risk and credit risk or liquidity risk exposure

The Group s risks are discussed in the Group s Annual Report which does not form part of this Report

EMPLOYEES

Details of the number of employees and related costs can be found in note 4 and 5 to the financial statements

Applications for employment by disabled persons are always fully considered bearing in mind the aptitudes of the applicant concerned In the event of members of staff becoming disabled every effort is made to ensure that their employment with the company continues and that appropriate training is arranged It is the policy of the Company that the training, career development, and promotion of disabled persons should, as far as possible, be identical with that of other employees

The Company participates in the Group's policies and practices to keep employees informed on matters relevant to them as employees through regular meetings Employee representatives are consulted regularly on a wide range of matters affecting their interests

DIRECTORS

The directors of the Company who served throughout the period except as noted were

M Ingle
J McManus
M Robson
G Hughes (appointed 1 August 2006)
S Walker (resigned 20 January 2006)
C R Wilson (resigned 5 April 2006)

GALIFORM CORPORATE SERVICES LIMITED
DIRECTORS' REPORT AND BUSINESS REVIEW (Cont'd)

DIRECTORS (cont'd)
No director held any beneficial interest in the shares of the Company or any other Group company at any time during the period, with the exception of the following

Beneficial interests of the directors including family interests in the share capital of the ultimate holding company Galiform Plc (formerly named MFI Furniture Group Plc) at 30 December 2006 and 24 December 2005 are disclosed in the accounts of that Company except those set out below

	At 30 December 2006				
	Ordinary shares of 10p each				
	Shares in issue	Share options	LTIP*	ECIP**	DBP***
J McManus	428,033	1,575 614	377 125	Nil	Nil
G Hughes	191 852	308 932	Nil	Nil	Nil

	At 24 December 2005				
	Ordinary shares of 10p each				
	Shares in Issue	Share options	LTIP*	ECIP**	DBP***
J McManus	247,817	1,357 129	377,125	937 500	43,982
G Hughes	191 852	308 932	308 932	Nil	Nil

* Conditional share award under performance share plan
** Under the terms of the Executive Co-Investment Plan, J McManus receives conditional matching awards consisting of two matching shares and two market value matching options for each share committed by them to the plan
*** Under the terms of the Deferred Bonus Plan J McManus defers his bonuses into shares which are held in trust for three years before being released

The options outstanding are exercisable at prices between 68 25p and 160 12p

J McManus and G Hughes also held a beneficial interest in the Galiform Sharesave scheme in common with all members of the scheme At the year end the scheme held 1,940 063 shares *(2005 3,164,167 shares)*

J McManus and G Hughes also held a beneficial interest in the Galiform All Employee Share Incentive Plan in common with all members of the scheme At the year end the scheme held 941 942 shares *(2005 1,770 888 shares)*

Under the terms of the Senior Managers Co-Investment Plan, G Hughes had 25,383 commitment shares with Galiform Plc, formerly MFI Furniture Group Plc granting 38 082 matching shares The Senior Managers Co-investment Plan offers 1 ½ matching shares for every share held in the plan by a senior manager, conditionally vesting after three years

SUPPLIER PAYMENT POLICY
It is the Company s policy in relation to all its suppliers, to settle its terms of payment when agreeing the terms of the transaction and to abide by those terms provided that it is satisfied that the supplier has provided the goods or services in accordance with agreed terms and conditions The Company does not follow any code or standard on payment practice but it is the Company s policy to pay all its suppliers within 30 days of the end of the month in which it receives the invoice

The Company pays trade creditors on behalf of both itself and other group companies The number of days purchases outstanding for payment when taking into account the payments both for this company and for other group companies at the period end was 20 days *(2005 23 days)*

GALIFORM CORPORATE SERVICES LIMITED
DIRECTORS' REPORT AND BUSINESS REVIEW (Cont'd)

POLITICAL AND CHARITABLE CONTRIBUTIONS
The Company made charitable donations during the period amounting to £74 600 *(2005 £201,000)* The company made no political donations during the current or previous period

AUDITORS
The directors at the date of approval of this report confirm that

- so far as the directors are aware there is no relevant audit information of which the company s auditors are unaware
- the directors have taken all the steps they ought to have taken as directors in order to make themselves aware of any relevant audit information and to establish that the company s auditors aware of that information

The confirmation is given and should be interpreted in accordance with the provisions of s234ZA of the Companies Act 1985

Pursuant to a shareholders' resolution passed during the year the Company is not obliged to re-appoint its auditors annually and Deloitte & Touche LLP will therefore continue in office

REGISTERED OFFICE
The Company s registered office is International House 66 Chiltern Street, London, W1U 4JT

STATEMENT OF DIRECTORS' RESPONSIBILITIES
The directors are responsible for preparing the financial statements in accordance with applicable law and regulations

Company law requires the directors to prepare financial statements for each financial year Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law) The financial statements are required by law to give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period In preparing these financial statements, the directors are required to

- select suitable accounting policies and then apply them consistently,
- make judgements and estimates that are reasonable and prudent,
- state whether applicable accounting standards have been followed and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business

The directors are responsible for keeping proper accounting records which disclose with reasonable accuracy at any time the financial position of the Company and to enable them to ensure that the financial statements comply with the Companies Act 1985 They are also responsible for the system of internal control safeguarding the assets of the company and hence for taking responsible steps for the prevention and detection of fraud and other irregularities

By Order of the Board

G M Hughes
Director

30th May 2008

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF GALIFORM CORPORATE SERVICES LIMITED

We have audited the financial statements of Galiform Corporate Services Limited for the 53 week period ended 30 December 2006 which comprises the profit and loss account the balance sheet, statement of total recognised gains and losses and the related notes 1 to 19 These financial statements have been prepared under the accounting policies set out therein

This report is made solely to the company s members as a body in accordance with section 235 of the Companies Act 1985 Our audit work has been undertaken so that we might state to the company s members those matters we are required to state to them in an auditors report and for no other purpose To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body for our audit work for this report or for the opinions we have formed

Respective responsibilities of directors and auditors

The directors' responsibilities for preparing the financial statements in accordance with applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice) are set out in the Statement of Directors' Responsibilities

Our responsibility is to audit the financial statements in accordance with relevant legal and regulatory requirements and International Standards on Auditing (UK and Ireland)

We report to you our opinion as to whether the financial statements give a true and fair view and are properly prepared in accordance with the Companies Act 1985 We also report to you whether in our opinion the information given in the Directors' Report is consistent with the financial statements

In addition we report to you if in our opinion the company has not kept proper accounting records, if we have not received all the information and explanations we require for our audit, or if information specified by law regarding directors' remuneration and other transactions is not disclosed

We read the Directors' Report and consider the implications for our report if we become aware of any apparent misstatements within it

Basis of audit opinion

We conducted our audit in accordance with International Standards on Auditing (UK and Ireland) issued by the Auditing Practices Board An audit includes examination, on a test basis, of evidence relevant to the amounts and disclosures in the financial statements It also includes an assessment of the significant estimates and judgments made by the directors in the preparation of the financial statements and of whether the accounting policies are appropriate to the company's circumstances consistently applied and adequately disclosed

We planned and performed our audit so as to obtain all the information and explanations which we considered necessary in order to provide us with sufficient evidence to give reasonable assurance that the financial statements are free from material misstatement whether caused by fraud or other irregularity or error In forming our opinion we also evaluated the overall adequacy of the presentation of information in the financial statements

Opinion

In our opinion

- the financial statements give a true and fair view, in accordance with United Kingdom Generally Accepted Accounting Practice, of the state of the company's affairs as at 30 December 2006 and of its loss for the 53 week period then ended,
- the financial statements have been properly prepared in accordance with the Companies Act 1985, and
- the information given in the Directors' Report is consistent with the financial statements

Deloitte & Touche LLP
Chartered Accountants and Registered Auditors
London

30th May 2008

GALIFORM CORPORATE SERVICES LIMITED
PROFIT AND LOSS ACCOUNT
FOR THE 53 WEEKS ENDED 30 DECEMBER 2006

		53 weeks to 30 December 2006			52 weeks to 24 December 2005		
		Before Exceptional			Before Exceptional		
		Exceptional Items	Items (note 3)	Total 2006	Exceptional Items	Items (note 3)	Total 2005
	Notes	£'000	£'000	£'000	£ 000	£ 000	£ 000
Turnover							
Continuing operations (UK)		28,591	-	28,591	49 404	-	49 404
Discontinued operations (UK)		334,080	-	334,080	750 038	-	750,038
Discontinued operations (Outside UK)		-	-	-	27 960	-	27,960
		362,671	-	362,671	827 402	-	827,402
Cost of Sales		(141,705)	-	(141,705)	(316,739)	(34,000)	(350,739)
Gross profit		220,966	-	220,966	510 663	(34,000)	476,663
Selling and administrative costs		(309,534)	(60,836)	(370,070)	(669 182)	(41 412)	(710 594)
Operating loss							
Continuing Operations	2	(23,410)	(60,836)	(84,246)	(19,684)	-	(19,684)
Discontinued Operations		(65,158)	-	(65,158)	(138 835)	(75 412)	(214 247)
Restructuring	3	-	(14,600)	(14,600)	-	-	-
Provision for closure costs		-	-	-	-	(9,307)	(9,307)
Profit on disposal of trading unit	3	-	39,500	39,500	-	-	-
Loss on disposal of fixed assets	3	-	(12,946)	(12,946)	-	(736)	(736)
Profit on disposal of investments	3	-	62,500	62,500	-	-	-
Loss on ordinary activities before finance charges		(88,568)	13,618	(74,950)	(158 519)	(85 455)	(243,974)
Interest receivable and similar income		26	-	26	1 605	-	1,605
Interest payable and similar charges		(220)	-	(220)	(49)	-	(49)
Loss on ordinary activities before taxation		(88,762)	13,618	(75,144)	(156,963)	(85 455)	(242 418)
Tax credit on loss on ordinary activities	6	29,105	-	29,105	22 983	6 800	29,783
Loss for the period		(59,657)	13,618	(46,039)	(133 980)	(78,655)	(212,635)

GALIFORM CORPORATE SERVICES LIMITED
BALANCE SHEET AT 30 DECEMBER 2006

	Notes	30 December 2006 £000	30 December 2006 £000	24 December 2005 £000	24 December 2005 £000
Fixed assets					
Tangible assets	7		**12,975**		91 558
Investments	8		**48,706**		93 833
			61,681		185 391
Current assets					
Stocks	9	-		102 705	
Debtors	10	**386,638**		115 104	
Cash at bank		**983**		667	
		387,621		218 476	
Creditors : amounts falling due within one year					
Creditors	11	**(719,456)**		(644 680)	
		(719,456)		(644 680)	
Net current liabilities			**(331,835)**		(426,204)
Total assets less current liabilities			**(270,154)**		(240,813)
Creditors : amounts falling due after more than one year					
Provisions for liabilities	12		**(16,698)**		-
Net liabilities			**(286,852)**		(240,813)
Capital and reserves					
Share capital	14		**12,358**		12 358
Profit and loss account	15		**(299,210)**		(253 171)
Shareholders' deficit			**(286,852)**		(240,813)

Approved by the Board of Directors on 30th May 2008

GM Hughes
Director

GALIFORM CORPORATE SERVICES LIMITED
STATEMENT OF TOTAL RECOGNISED GAINS AND LOSSES

FOR THE 53 WEEKS ENDED 30 DECEMBER 2006

	30 Dec 2006 £000	24 Dec 2005 £000
Loss for the financial year	**(46,039)**	(212,635)
Foreign exchange loss	-	(62)
Total recognised losses for the financial period	**(46,039)**	(212,697)

GALIFORM CORPORATE SERVICES LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE 53 WEEKS ENDED 30 DECEMBER 2006

1 ACCOUNTING POLICIES

The accounting policies summarised below have all been applied consistently throughout the year and the preceding year

BASIS OF PREPARATION

The financial statements are prepared under the historical cost convention and in accordance with applicable United Kingdom accounting standards

Under Financial Reporting Standard 1 the Company is exempt from the requirement to prepare a cash flow statement on the grounds that it is a wholly owned subsidiary undertaking and a consolidated cash flow statement is given in the financial statements of Galiform Plc, formerly MFI Furniture Group Plc

The financial statements include the results for the 53 week period ended 30 December 2006 *(2005 52 weeks)*, being the Saturday nearest to the Company's accounting reference date of 30 December

The Company is exempt from the requirement to prepare Group financial statements under s228 of the Companies Act 1985 since its results are included in the consolidated financial statements of its ultimate parent company, Galiform Plc formerly MFI Furniture Group Plc Accordingly these accounts present information about the company as an individual undertaking and not its group

TURNOVER

In 2005 and 2006 the discontinued turnover represented the net value of goods sold or services delivered to customers excluding value added tax and other sales taxes In 2006 the continuing turnover represents the gross recharge to other group companies

TANGIBLE FIXED ASSETS

Fixed assets are stated at cost net of accumulated depreciation or provision for impairment Depreciation is provided to write off the cost less any residual value of tangible fixed assets over their estimated useful lives as follows

Plant and machinery, fixtures and fittings	10% - 25% p a
Motor vehicles	20% - 25% p a

INVESTMENTS

Trade investments and loans, and shares in subsidiary companies are stated at cost less any provision for impairment Investments in shares in ultimate parent are shares held by employee share ownership trusts, and are recorded at cost, including expenses, less amounts written off Amounts written off these shares are calculated so as to charge the cost of the shares to profit and loss over the period of the underlying share options or awards

TAXATION

UK Corporation tax is provided at amounts expected to be paid or recovered using tax rules and laws that have been enacted or substantially enacted by the balance sheet date

Deferred taxation is provided on a full provision basis, without discounting on all timing differences which have arisen but not reversed at the balance sheet date Except where otherwise required by Accounting Standards no timing differences are recognised in respect of

(a) property revaluation surpluses where there is no commitment to sell the asset,
(b) gains on sale of assets where those assets have been rolled over into replacement assets, and
(c) additional tax which would arise if profits of overseas subsidiaries were distributed, and deferred tax assets to the extent that they are regarded as not likely to be recovered

GALIFORM CORPORATE SERVICES LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE 53 WEEKS ENDED 30 DECEMBER 2006

1 ACCOUNTING POLICIES (Cont'd)

FOREIGN CURRENCY

Transactions denominated in foreign currencies are translated into sterling and recorded at the rate of exchange ruling at the date of the transaction

Assets and liabilities denominated in foreign currencies are translated into sterling at rates ruling at the balance sheet date Foreign exchange profits and losses arising during the period are included in loss on ordinary activities before taxation

LEASED ASSETS

Expenditure under operating leases is charged to the profit and loss account on a straight-line basis over the period of the lease

PENSIONS

i) Defined benefit pension schemes

The Company participates in its parent company (Galiform Plc) s group retirement benefit schemes This is a defined benefit arrangement, operating through two multi-employer defined-benefit schemes The assets and liabilities of the schemes are held separately from those of the Galiform Group The company is unable to identify its share of the underlying assets and liabilities of the schemes and accordingly accounts for the schemes as if they were defined contribution schemes This is in line with the guidance in FRS 17 relating to group defined benefit pension schemes

ii) Defined contribution pension schemes

During the 53 weeks to 30 December 2006, the Galiform Group began to operate a defined contribution scheme for its employees For defined contribution schemes the amount charged to the profit and loss account in respect of pension costs and other post-retirement benefits is the contributions payable in the year Differences between contributions payable in the year and contributions actually paid are shown as either accruals or prepayments in the balance sheet

2 LOSS ON ORDINARY ACTIVITIES BEFORE TAXATION

Loss on ordinary activities before taxation is stated after charging/(crediting)

	30 Dec 2006 £000	24 Dec 2005 £000
Auditors' remuneration – audit services	**428**	245
– other tax services	**329**	367
Depreciation and other amounts written off fixed assets	**21,819**	68,887
Movement in depreciation within stocks	-	2,400
Hire of plant and machinery – operating lease rentals	**7,734**	13 313
Rent payable on property	**44,378**	81,289
Government grants	-	(25)

The auditors' remuneration for audit and other tax services in 2006 relates to all the Galiform group companies The audit fee for Galiform Corporate Services Ltd was £248,000 *(2005 £245,000)*

GALIFORM CORPORATE SERVICES LIMITED
NOTES TO THE FINANCIAL STATEMENTS (Cont'd)
FOR THE 53 WEEKS ENDED 30 DECEMBER 2006

3 EXCEPTIONAL ITEMS

Exceptional items charged to the profit and loss account for the 53 weeks ended 30 December 2006

	Note	Total
Continuing Operations*		**£'000**
Legal & professional fees		**(18,800)**
Onerous lease provision for vacant properties		**(6,100)**
Bank fees		**(3,100)**
Provision for Orchardlight intercompany balance		**(31,260)**
Intercompany balance write offs		**(1,576)**
Total charged to operating profit		**(60,836)**
Tax credit on exceptional items in continuing operations		**10,308**
Net exceptional items in continuing operations		**(50,528)**
Discontinued Operations		
Profit on disposal of trading division	**(a)**	**39,500**
Profit on disposal of investment	**(b)**	**62,500**
Loss on disposal of MFI Retail	**(c)**	**(12,946)**
Restructuring	**(d)**	**(14,600)**
Total discontinuing exceptional items before tax		**74,454**
Tax credit on exceptional items in discontinued operations		**4,380**
Net exceptional items in discontinued operations		**78,834**
Total exceptional items before tax		**13,618**
Total tax on exceptional items		**14,688**
Total exceptional items on tax		**28,306**

* All expenses are selling and administrative costs

(a) Profit on disposal of trading division

The profit on disposal of trading division of £39,500,000 *(2005 nil)* is due to the sale of the MFI Retail division to MEP Mayflower Limited on the 18 October 2006 The associated tax charge is £nil

Net Assets disposed of	**30 Dec 2006 £000**
Property, plant & equipment	**21,209**
Inventories	**37,704**
Receivables	**38,407**
Payables	**(136,820)**
Total net liabilities disposed	**(39,500)**
Profit on disposal	**39,500**
Net proceeds	**-**

GALIFORM CORPORATE SERVICES LIMITED
NOTES TO THE FINANCIAL STATEMENTS (Cont'd)
FOR THE 53 WEEKS ENDED 30 DECEMBER 2006

3. EXCEPTIONAL ITEMS continued

(b) Profit on disposal of investment
The profit on disposal of investment of £62 500 0000 *(2005 nil)* is due to the sale of the company's investment in Hygena Cuisines SA to Nobia AB on the 14 February 2006 The associated tax charge is £nil (2005 £14,866,000)

(c) Loss on disposal of fixed assets
The loss on disposal of fixed assets of £12 946 000 *(2005 loss of £736 000)* represents net loss on disposal of plant and machinery and fixtures and fittings The associated tax charge is £nil (2005 £nil)

(d) Restructuring of discontinued operations
Restructuring costs relate to discontinued operations and are made up as follows

Item	30 Dec 2006 £000
Headcount reductions	**5,400**
Impairment of computer systems capitalised in prior years	**4,600**
Impairment of property assets	**1,700**
Professional fees relating to property transactions	**2,900**
Total exceptional costs before tax	**14,600**
Tax credit on operating exceptional items at 30%	-
Total operating exceptional items, after tax	**14,600**

4. STAFF NUMBERS AND COSTS

The average number of persons (excluding directors) employed by the Company during the period was

	30 Dec 2006 No	24 Dec 2005 No
Management and administration	**202**	516
Production, distribution and sales	**6,482**	7,598
	6,684	8,114

The aggregate payroll costs of these persons were as follows

	30 Dec 2006 £000	24 Dec 2005 £000
Wages and salaries	**117,973**	211 749
Social security costs	**9,191**	15,846
Other pension costs	**12,150**	25,858
	139,314	253,453

The numbers above include a net charge of £4 900,000 *(2005 net credit of £1,000,000)* in respect of share incentive schemes in 2006

GALIFORM CORPORATE SERVICES LIMITED
NOTES TO THE FINANCIAL STATEMENTS (Cont'd)
FOR THE 53 WEEKS ENDED 30 DECEMBER 2006

5 REMUNERATION OF DIRECTORS

The emoluments of the directors were as follows

	30 Dec 2006 £000	24 Dec 2005 £000
Directors emoluments	2,500	2 940
Pension costs	41	81
	2,026	3 021

The aggregate emoluments of the highest paid director in the 53 weeks to 30 December 2006 were £1,185,000 *(52 weeks to 24 December 2005 £1,012 000)*

Based on normal retirement age the accrued pension of the highest paid director, should he leave employment at the end of the financial year is £41 800 *(2005 £23 000)* The number of directors accruing benefits under the pension scheme is four *(2005 six)*

6 TAX ON LOSS ON ORDINARY ACTIVITIES

	30 Dec 2006 £000	24 Dec 2005 £000
UK Corporation tax		
Current period	(26,094)	(25 949)
Adjustments relating to prior periods	-	423
Current tax credit	(26,094)	(25,526)
Deferred taxation (note 13)	(3,012)	(4,257)
Tax credit on loss on ordinary activities	(29,105)	(29 783)

Factors affecting current period corporation tax

	2006	2005
The current corporation tax credit, as a percentage of loss on operating activities before taxation, is calculated at	35 6%	10 5%

The current period corporation tax credit for the period is higher *(2005 lower)* than the standard rate of corporation tax relief of 30% for the following reasons

	30 Dec 2006 £000	24 Dec 2005 £000
Loss on ordinary activities before taxation for the period	(75,145)	(242 418)
Loss on ordinary activities before taxation for the period multiplied by the standard rate of corporation tax in the UK of 30% *(2005 30%)*	(22,544)	(72 725)
Expenses not deductible for tax purposes	7,035	20,550
Deprecation in excess of capital allowance	1,825	907
Movement in short-term timing differences	720	540
Losses not taken	2,177	24 779
Share Awards	(435)	-
Profit on disposal	(14,873)	-
Prior period adjustments	-	423
Tax credit on loss on ordinary activities	(26,094)	(25,526)

Factors that may affect future tax charges

It is expected that the effective rate of corporation tax will stabilise at around 30%

GALIFORM CORPORATE SERVICES LIMITED
NOTES TO THE FINANCIAL STATEMENTS (Cont'd)
FOR THE 53 WEEKS ENDED 30 DECEMBER 2006

7 TANGIBLE FIXED ASSETS

	Leasehold Properties under 50 years	Plant and machinery	Fixtures and fittings	Assets in course of construction	Total
	£000	£000	£000	£000	£000
Cost					
At 24 December 2005	-	259 634	153 565	5 287	418 486
Additions	4	2 149	4 598	3 664	10 415
Transfer (to)/from fellow group company	6 513	(138,702)	(140,383)	(7,514)	(280,086)
Disposals	(117)	(44,237)	(12,643)	-	(56 997)
At 30 December 2006	**6,400**	**78,844**	**5,137**	**1,437**	**91,818**
Depreciation					
At 24 December 2005	-	192 298	134,630	-	326,928
Charge for the period	96	11 786	3,619	-	15 501
Transfer to/ (from) fellow group company	1 980	(102,779)	(125,680)	-	(226,479)
Impairment charge (note 4)	1 627	4 658	33	-	6 318
Disposals	-	(34,681)	(8,744)	-	(43,425)
At 30 December 2006	**3,703**	**71,282**	**3,858**	**-**	**78,843**
Net book value					
At 30 December 2006	**2,697**	**7,562**	**1,279**	**1,437**	**12,975**
At 24 December 2005	-	67,336	18 935	5 287	91,558

8 INVESTMENTS

	Shares in ultimate parent	Shares in subsidiary undertakings	Trade investments and loans	Total
	£000	£000	£000	£000
Cost				
At 24 December 2005	68 817	12 833	31,068	112 718
Disposals/repayments	(1,369)	(12,833)	(31,068)	(45 270)
At 30 December 2006	**67,448**	**-**	**-**	**67,448**
Provisions				
At 24 December 2005	(13,796)	(5,089)	-	(18,885)
Charge for the period	(4,946)	-	-	(4 946)
Disposals	-	5,089	-	5 089
At 30 December 2006	**(18,742)**	**-**	**-**	**(18,742)**
Net book value				
At 30 December 2006	**48,706**	**-**	**-**	**48,706**
At 24 December 2005	55,021	7,744	31,068	93,833

At the beginning of the year, the shares in subsidiary undertakings comprised the whole of the issued share capital of Hygena Cuisines SA, a company incorporated in France The principal activity of Hygena Cuisines SA was the sale of self-assembly furniture On 14 February 2006, the company completed the sale of its investment in Hygena Cuisines SA, to Nobia AB for total gross cash proceeds (before expenses) of €135million (approximately £92million)

GALIFORM CORPORATE SERVICES LIMITED
NOTES TO THE FINANCIAL STATEMENTS (Cont'd)
FOR THE 53 WEEKS ENDED 30 DECEMBER 2006

8 INVESTMENTS continued

Employee Share Schemes
The Company maintains three employee share ownership trusts which hold shares in Galiform Plc These are summarised as follows

	Shareholding (No of shares)	Value on 30 Dec 2006 £000	Dividends Waived
Galiform Employee Share Trust	39 617,697	54 276	Yes
Galiform Employee Benefit Trust	190 000	260	No
Galiform Free share Trust	687,224	941	No
Individual nominee accounts	595 792	816	Some

As at 30 December 2006 94% of the above shares were allocated to existing options awards

The trusts have been funded by the employing companies in the Group to acquire shares in Galiform Plc The cost of running these trusts is included in the profit and loss account The Trusts have undertaken the following activities

Galiform Employee Share Trust
- to transfer shares to executive directors when shares vest under the Galiform Performance Share Plan
- to transfer shares to employees on exercise of various options granted under (i) an unapproved share option scheme and (ii) the Galiform Performance Share Plan

Galiform Employee Benefit Trust
- to transfer shares to employees under the Galiform Group Profit Sharing Trust

Galiform Free share Trust
- to transfer shares to employees when shares vest under the Galiform Free share Plan

9 STOCKS

	30 Dec 2006 £000	24 Dec 2005 £000
Raw materials and consumables	-	15 762
Work in progress	-	7,652
Finished goods and goods for resale	-	79 291
	-	102 705

10 DEBTORS

	30 Dec 2006 £000	24 Dec 2005 £000
Amounts falling due within one year		
Trade debtors	**2,139**	1,556
Amounts owed by parent and fellow subsidiary undertakings	**353,181**	41,579
Amount owed by joint venture company EA (UK) Home Interiors Limited	**207**	1 084
Other debtors	**60**	291
Other taxes and social security	**451**	-
Prepayments and accrued income	**2,270**	21 496
VAT	**2,329**	23,422
Corporation tax	**26,001**	25,676
	386,638	115,104

GALIFORM CORPORATE SERVICES LIMITED
NOTES TO THE FINANCIAL STATEMENTS (Cont'd)
FOR THE 53 WEEKS ENDED 30 DECEMBER 2006

11 CREDITORS

	30 Dec 2006 £000	24 Dec 2005 £000
Amounts falling due within one year		
Trade creditors	**4,909**	53 062
Amounts owed to parent and fellow subsidiary undertakings	**701,269**	522 884
Other taxes and social security	-	4 533
Accruals	**13,278**	64 163
Deferred income - government grant	-	38
	719,456	644 680

The amount owed to the parent and fellow subsidiary undertakings is payable on demand and is interest free

12 PROVISIONS FOR LIABILITIES

	Property Provision £000	Pension scheme £000	Deferred taxation £000	Total £000
At 24 December 2005	-	-	-	-
Charge/(Credit) to the profit and loss account	19 608	102	(3 012)	16 698
At 30 December 2006	**19,608**	**102**	**(3,012)**	**16,698**

13 DEFERRED TAXATION

The deferred taxation liability provided in the accounts is as follows

	30 Dec 2006 £000	24 Dec 2005 £000
Other timing differences	**(3012)**	-
	(3,012)	-

14 SHARE CAPITAL

	30 Dec 2006 £000	24 Dec 2005 £000
12 500 authorised ordinary shares of £1 each	**12,500**	12 500
12,358 allotted and fully paid ordinary shares of £1 each	**12,358**	12,358

15 RECONCILIATION OF MOVEMENT IN SHAREHOLDERS' FUNDS

Movements during the period were as follows

	Share Capital £'000	Profit and Loss Reserve £'000	Shareholders' Funds £'000
At 24 December 2005	12 358	(253,171)	(240,813)
Profit for the financial period	-	(46,039)	(46,039)
At 30 December 2006	**12,358**	**(299,210)**	**(286,852)**

GALIFORM CORPORATE SERVICES LIMITED
NOTES TO THE FINANCIAL STATEMENTS (Cont'd)
FOR THE 53 WEEKS ENDED 30 DECEMBER 2006

16 FINANCIAL COMMITMENTS

At 30 December 2006 the annual commitments under non-cancellable operating leases were as set out below

	30 Dec 2006		24 Dec 2005	
	Property	Plant and Machinery	Property	Plant and Machinery
	£000	£000	£000	£000
Operating leases which expire				
Within one year	165	64	-	3,420
Between two and five years	1,715	118	-	5,267
Over five years	12,338	-	-	2,788
	14,218	182	-	11,475

17 CONTINGENT LIABILITIES

There is a Group VAT registration cross-guarantee under which if one Group company fails to pay its VAT then the other Group companies are jointly and severally liable The amount outstanding on this guarantee at the period end is £19 0m *(2005 £19 0m)*

In February Galiform Plc, formerly MFI Furniture Group Plc, refinanced its medium term debt The Company has guaranteed the obligations of other group companies under this bank facility

18 PENSIONS

i) Defined contribution pensions

During the 53 weeks to 30 December 2006, the Galiform Group began to operate a defined contribution scheme for its employees The Company's pension charge for the year for defined contribution pension schemes was £31 000 *(2005 nil)* There were no outstanding contributions at the period end

ii) Defined benefit pensions

The Company participates in the Galiform Plc Group retirement benefit plan (formerly the MFI Furniture Group Plc retirement benefit plan) This is a defined benefit multi-employer arrangement which operates through two funded pension schemes which provide benefits based on the final pensionable pay of participating employees The assets of the schemes are held separately from those of the Group being invested with independent fund managers The Company is unable to identify its share of the underlying assets and liabilities of the schemes and accordingly accounts for the schemes as if they were defined contribution schemes This is the prescribed treatment in FRS 17 *Retirement Benefits*

Further information about the Galiform plc defined-contribution retirement benefit schemes is available in the Galiform Plc statutory accounts The latest actuarial valuation of the Group defined contribution schemes was carried out at 6 April 2005 by the scheme actuary This was subsequently rolled forward to 30 December 2006 by the actuary advising the Group, and restated on a basis consistent with market conditions at that date This exercise showed a scheme deficit at 30 December 2006 of £189 2m *(2005 £297 1m)*, before netting off the associated deferred tax asset The roll-forward was done according to the requirements of International Accounting Standard 19 "Employee Benefits" ('IAS 19', under which the Galiform Group reports its results) rather than FRS 17 (under which this Company reports its results) However, management have no reason to believe that there would be any significant difference between a valuation under FRS17 and one under IAS 19

The Company's defined benefit pension charge for the year was £12,149,000 *(2005 16,883,000)* There were no outstanding contributions at the period end

The Group has adopted IFRS with effect from 26 December 2004, and therefore the Group consolidated financial statements disclose pension charges, assets, and liabilities in line with IAS 19 *Employee Benefits*" The Group does not believe that there are any material differences between the net pension deficit and the pension charge under IAS 19, compared to under FRS17 It may therefore be useful to users of these accounts to consult the full IAS 19 disclosures given in the consolidated financial statements of Galiform Plc, formerly MFI Furniture Group Plc

GALIFORM CORPORATE SERVICES LIMITED
NOTES TO THE FINANCIAL STATEMENTS (Cont'd)
FOR THE 53 WEEKS ENDED 30 DECEMBER 2006

The most recent actuarial valuation was carried out at 6 April 2005 by the scheme actuary The actuary advising the Group has subsequently rolled forward this valuation to 30 December 2006 and restated the results onto a basis consistent with market conditions at that date Further details are given in the consolidated financial statements of Galiform Plc

The IAS 19 valuation as shown in the Galiform Plc consolidated accounts shows that the plan had a deficit at 30 December 2006 of £189 2m before deferred tax *(2005 deficit of £297 1m before deferred tax)*

19 ULTIMATE PARENT COMPANY AND RELATED PARTY TRANSACTIONS

The Company s parent company is Orchardlight Ltd and the ultimate parent company and controlling entity is Galiform Plc, formerly MFI Furniture Group Plc, both incorporated in Great Britain and registered in England and Wales

The largest and smallest group in which the results of the Company are consolidated is that headed by Galiform Plc The consolidated accounts of this group are available to the public and can be obtained from the Registrar of Companies, Companies Registration Office Crown Way, Maindy, Cardiff CF14 3UZ

The Company is exempt under FRS 8 from the requirement to disclose transactions with the group headed by Galiform Plc on the grounds that it is a wholly owned subsidiary